Union ministry of finance, detailing issues around mis-selling of insurance.

There is no doubt that the number of complaints regarding insurance claims being rejected has gone up with the department of consumer affairs. Policyholders have knocked the doors of the department after making attempts to reconcile claims with insurance companies and the insurance ombudsman, resulting in no favourable solution. It is easy to blame the insurance agents when the policy claim is declined and this appears to be one more such instance. The issue has found prominence because the consumer affairs secretary has highlighted that the root cause of the disputes lies in inadequate communication.

In fact, the secretary has gone so far as to suggest and recommend audio/video recording of the sales process between agents and policyholders. On their part, insurance agents do undergo certification and training conducted by the insurance regulator IRDAI (Insurance Regulatory and Development Authority of India) to qualify to become agents. Insurance companies on their part train these agents on product features as well as processes involved towards the actual policy sale. With so much rigour and checks in place, to blame just the agent selling the policy amounts to being unfair to them.

Often, the main reason is insurance buyers not clearly understanding what the policy benefits and limitations are at the time of buying it. For the agents as well, many a time, the challenge arises in explaining the features of a policy in detail owing to lack of time in closing the sale or not being able to simplify the policy benefits. If one goes into details of the policy wordings, one may not just need a dictionary, they will also need significant examples of situations in which a claim could be rejected or a risk could be insured with conditions.

The IRDAI is not new to these issues and, over the years, has taken steps to bring in accountability when it comes to selling and servicing of policies. Policy inclusions and exclusions have been in vogue for a long time and it would be unfair to place the blame solely on the agent. Moreover, often policyholders purchase policies directly from insurance company websites or portals that are licensed to sell insurance. The decision to purchase a policy is often driven by low cost by way of premiums rather than digging deeper into the scope of insurance cover and benefits.

Every industry has its share of stated and unstated exclusions. For a long time, mutual fund companies have dealt with the mandatory disclaimer—"mutual fund investments are subject to market risks, read all scheme-related documents carefully". Prominently posting this disclaimer did cause problems for distributors selling mutual funds. However, over time, the disclaimer has become what the statutory warning on a cigarette packet is—something mandated by law, which is ignored by consumers.

It is time policyholders made some effort in understanding the policy that they buy and for the regulator to make insurance jargon-free and simple. As for insurance companies and agents, they could consider working on making wordings of insurance policies easy to understand. They could also highlight exclusions in policies. ■

–Narayan Krishnamurthy

SCHEME INFORMATION DOCUMENT: DEADLINE EXTENDED

The Securities and Exchange Board of India has extended the timeline for asset management companies (AMCs) to issue the revised format of scheme information document (SID) from April 1 to June 1. The revised SID will prominently display product suitability and applicability of risk-o-meter on the respective benchmark. Although most of the things remain the same, there are a few other aspects you ought to know to help you understand the nature of the fund scheme.

Skin in the game: Disclosure on the total investment made by AMC's board of directors, scheme's fund manager and other key personnel

Functional link: Scheme portfolio holding or top 10 holdings should be disclosed by way of a functional web link. Also, fund houses will have to offer such a link to disclose the total expense ratio (TER) of the last six months

Segregated portfolio: AMCs can only create a segregated portfolio if they mention it on their SIDs. The Statement of Additional Information (SAI) will have the complete details. Similarly, other such disclosures have to be made like swing pricing and stock lending/short selling for applicability in scheme

Risk level: AMCs should disclose risk-o-meter of benchmark on SID, Key Information Memorandum (KIM) and common application form along with the risk level of the scheme

Rationale: AMCs will have to disclose the justification for the use of benchmark index

Timelines: AMCs will have to disclose the disclosure timing of NAV and give a timeline for dispatch of redemption proceeds or dividends

Investor services: AMCs will have to give contact details for general service requests and complaint resolution